

Multiple Choice (10 marks)

1. A small business estimates price elasticity of demand for the product to be 3. To raise total revenue, owners should
 - (a) keep the price constant as demand is elastic.
 - (b) decrease price as demand is inelastic.
 - (c) decrease the quality of the product.
 - (d) increase price as demand is elastic.
 - (e) increase price as demand is inelastic.
2. Suppose the government seeks to achieve a balanced budget by levying taxes of \$100 billion and making expenditures of \$100 billion. How will this affect NNP if $MPC = 0.8$?
 - (a) Decrease of \$500 billion in NNP
 - (b) Increase of \$500 billion in NNP
 - (c) Decrease of \$100 billion in NNP
 - (d) No change in NNP because taxes cancel out expenditures
 - (e) Increase of \$200 billion in NNP
3. A minimum wage in the market for fast-food workers is likely to produce
 - (a) a decrease in the demand for fast-food workers.
 - (b) a stabilization in the market for fast-food workers.
 - (c) a decrease in the supply of fast-food workers.
 - (d) a decrease in the prices of fast-food items.
 - (e) no change in the market for fast-food workers.
4. Which one of the following is a disadvantage of the general to specific or "LSE" ("Hendry") approach?
 - (a) Some variables may be excluded at the first stage leading to coefficient biases
 - (b) The final model may lack theoretical interpretation
 - (c) The final model may be statistically inadequate
 - (d) If the initial model is mis-specified, all subsequent steps will be invalid.
5. If 1964 GNP = \$622 billion and the average money supply was \$155 billion, what was the income velocity of money?
 - (a) 4.5 times

- (b) 3 times
- (c) 4.0129 times
- (d) 7 times
- (e) 2 times

True / False (10 marks)

Answer True or False

6. True or False: If a household has savings of \$3000 and pays \$2000 in taxes, its personal income is \$1000.
7. True or False: Monetarists believe that the velocity of money (V) and real output (Q) are always inversely related.
8. True or False: The optimal one-step ahead forecast of the change in y is the current value of y minus the current value of Δy .
9. True or False: The demand curve in a kinked demand model is a single continuous function with a kink at the equilibrium point.
10. True or False: A socially optimal price for a natural monopoly occurs when marginal revenue equals marginal cost.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Analyze the effects on the price and quantity of roses in the market when there is a simultaneous increase in the price of roses and a decrease in the number of roses produced.
12. Discuss how consumer sovereignty, producer profits, competition, and resource mobility interact to determine the types and quantities of goods produced in a pure capitalist economy.

End of Paper